

you use your money to make yourself uncomfortable? If you are not a risk taker but you chase fast-growing small companies because you've been told that's where the big money is, you'll be dismayed by the stocks' gyrations, hate what you are doing, and probably make a mess of it. The converse is just as true: if you *are* a risk taker and you end up with a plateful of municipal bonds because some financial planner advised it, you'll also be miserable.

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The main question an investor has to ask himself is, "What is my attitude toward risk?" And that probably hasn't changed since you were twelve years old.

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So the first thing to do is find out who you are. If philosophic wisdom begins with the admonition "Know thyself," then financial wisdom begins with "Know thy risk tolerance." For instance, an equity fund like mine, which concentrates on small-company stocks, is volatile. A risk-averse person will never be wholly comfortable owning it. A very risk-averse person probably shouldn't be in stocks at all, but should stick to fixed-income investments.

There are tests you can take to establish your risk quotient—the kind you find in some investment cookbooks—but if you ponder it and are honest with yourself, you know your tolerance for risk.

Deciding on an investment philosophy is kind of like picking a spouse. Do you want someone who is volatile and romantic and emotional, or do you want someone who is steady and trustworthy and down to earth? We all have friends who have been long and happily hitched to people we can't stand to be in the same room with for fifteen minutes. If you want a successful investment career, you'd better bind yourself to a style you can live with.